

DON'T FOLLOW THE CROWD

Most market letters urge the public to buy when they should sell, and to sell when they should buy. The banks lower their money rates and make it easy for people to purchase when stocks really should be sold; and, conversely, they call loans and unintentionally do all that is possible to prevent the public from purchasing when stocks are low. Corporations raise their dividends and publish splendid reports, making their stocks look attractive when they are already too high, and they reduce the dividends and show poor earnings when the stocks are really an attractive and safe investment; and so it is all the way down the line. Banks, corporations, leading men, and even many of the brokers themselves, are all consciously or unconsciously combined to get the public in wrong. Consequently, only about two per cent of the traders who enter Wall Street ever succeed in beating this game, though even a larger percentage of those who play at Monte Carlo beat the bank there.

Of course, if one knew that the Wall Street organization would invariably give the wrong advice, one could—if he had extraordinary self-control and independence—beat the game by always doing exactly the opposite of what some of the news sheets, banks, corporation officials and brokers generally advise; but this also is an impossibility, as these interests sometimes advise correctly for the very purpose of still further bewildering investors and the public generally. Therefore, the first point that I wish to impress upon the reader is that only about two per cent of the speculators and room traders ever succeed in retiring from Wall Street with any profit, and that the majority of this small percentage do it largely through luck.

The second statement that I wish to emphasize is as follows: Although the ordinary speculator has a very small chance of profit, and although it is almost an impossibility to make money in stocks along the lines ordinarily practised,